

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 21-05

MCS INDUSTRIES, INC. v. COSCO SHIPPING LINES CO., LTD. AND
MSC MEDITERRANEAN SHIPPING COMPANY SA

**COMPLAINANT MCS INDUSTRIES, INC.'S SUBMISSION OF
DISPUTES CONCERNING SCOPE OF INITIAL RFPs**

Pursuant to the September 23, 2021 Scheduling Order in this action, the undersigned counsel for Complainant MCS Industries, Inc. (“MCS Industries”), having conferred with counsel for Respondent MSC Mediterranean Shipping Company SA (“Mediterranean Shipping”) on October 5, 2021, and subsequently exchanged correspondence with counsel for Mediterranean Shipping, respectfully submits to the Honorable Erin M. Wirth, Chief Administrative Law Judge and the presiding officer in this action, this report of potential disputes concerning the scope of MCS Industries’ First Request for Production of Documents and Electronically Stored Information to Mediterranean Shipping, timely served on counsel for Mediterranean Shipping on September 24, 2021 (the “MCS RFPs”).

As detailed in MCS Industries’ Verified Complaint in this action, MCS Industries and Mediterranean Shipping entered into a written “service contract” within the meaning of 46 U.S.C. Section 40102(21) for the 2021 shipping year (the “Service Contract”) in which the parties agreed that MCS Industries would ship, and Mediterranean Shipping would accept for carriage, a certain Minimum Quantity Commitment (“MQC”) of cargo during the term of the Service Contract. Such shipments were to be reasonably spread throughout the term of the Service Contract. MCS

Industries' complaint against Mediterranean Shipping alleges a course of conduct in which Mediterranean Shipping failed to provide this contractually agreed-upon space for MCS Industries cargo on Mediterranean Shipping's ships, in violation of the Shipping Act. MCS Industries alleges, upon information and belief, that Mediterranean Shipping instead gave other shippers preferential treatment, including by allocating space that should have carried MCS Industries cargo to shippers that purchased space on a spot-market basis at higher prices.

Consistent with and in furtherance of these allegations, MCS Industries prepared and served the MCS RFPs, seeking discovery from Mediterranean Shipping including documents and communications concerning MCS Industries, its Service Contract, and its cargo; Mediterranean's scheduling, allocation of space, and pricing on relevant sailings of its vessels during the current shipping year; and Mediterranean Shipping's financial performance during the current and prior shipping years, including in particular the effects of any claims of force majeure on its operations and financial performance.

In anticipation of the Scheduling Order's October 8, 2021 deadline to submit discovery disputes concerning the parties' respective initial Requests for Production, the undersigned counsel conferred by telephone with counsel for Mediterranean Shipping on October 5, 2021. Although the undersigned counsel expected and intended to discuss, among other matters, anticipated objections by Mediterranean Shipping to the MCS RFPs, as well as MCS Industries' objections to the similar RFPs that Mediterranean Shipping had served (the "Mediterranean RFPs"), Mediterranean Shipping's counsel flatly refused to discuss specific objections to the MCS RFPs on that call, instead claiming that Mediterranean Shipping objected to the MCS RFPs in their entirety. Instead, Mediterranean Shipping's counsel demanded, as a prerequisite to Mediterranean Shipping responding to the MCS RFPs, that MCS Industries first identify a sampling of particular

“transactions” that MCS Industries contends are at issue so that the parties could exchange information just on those transactions (and implicitly postponing any other documentary discovery in the case). Mediterranean Shipping proposed that this process should precede and potentially narrow the discovery MCS Industries has requested, contending that such a staged approach could render other discovery irrelevant.

The undersigned counsel objected to the idea that such staged discovery is either required by the Federal Maritime Commission’s Rules of Practice and Procedure or appropriate to this particular case, and noted that interposing such an additional discovery stage would be utterly inconsistent with the proposed case schedule that the parties had jointly submitted on September 20, 2021 and the subsequently issued Scheduling Order in this action. Even if such pre-discovery allowed the parties to determine whether certain exemplar booking requests were timely or technically deficient, it would not resolve the larger issue of the course of conduct between the parties, including Mediterranean Shipping’s utter failure over the course of three months to provide any space for MCS Industries cargo on its sailings from Qingdao, People’s Republic of China, and its shortfalls on its sailings from Tianjin, People’s Republic of China.

The undersigned counsel nonetheless agreed to consider a written proposal from Mediterranean Shipping for such a staged, preliminary production. As part of that discussion, the undersigned counsel requested repeatedly that Mediterranean Shipping clarify what “transactions” it believed needed to be identified, given that the undersigned counsel had already identified in prior correspondence the relevant ports, time periods, MQC allocations, and actual space released by month. In addition, the undersigned counsel made clear that any staged discovery proposal from Mediterranean Shipping would also have to address the alterations to the case schedule that such a proposal necessarily would entail, so as not to interfere with either party’s obligation to respond

in full to the pending discovery requests or either party's ability to receive full documentary discovery before undertaking fact depositions. The undersigned counsel memorialized the topics discussed on this October 5, 2021 call by letter dated October 6, 2021, a copy of which is attached hereto as Exhibit 1.¹

In response, counsel for Mediterranean Shipping sent a proposal for staged discovery on October 7, 2021, a copy of which is attached hereto as Exhibit 2, that contained no additional detail about what Mediterranean Shipping was demanding from MCS Industries,² provided no confirmation that Mediterranean Shipping would produce any documents beyond a copy of the Service Contract and any amendments, and did not propose any changes to the discovery schedule in light of the additional discovery stage that it sought to interpose. In that letter, Mediterranean Shipping reiterated its blanket objection to the MCS RFPs, saying, "we consider the vast majority of the discovery you have requested, including requests for all documents on cargo capacity for every sailing in the date in the date range, rates charged to other shippers under confidential service contracts, nonpublic financial information and ownership interests in MSC to be irrelevant, burdensome, duplicative, harassing, and unnecessary."

In a response letter sent yesterday, a copy of which is attached hereto as Exhibit 3, the undersigned counsel explained that MCS Industries cannot accept this narrow and self-serving proposal from Mediterranean Shipping, which misconstrues and improperly cabins the nature of MCS Industries' causes of action, and which was made long after the parties had already submitted

¹ On the October 5, 2021 call, counsel for the parties also discussed MCS Industries' anticipated objections to the Mediterranean RFPs and other matters pertinent to discovery. *See* Ex. 1.

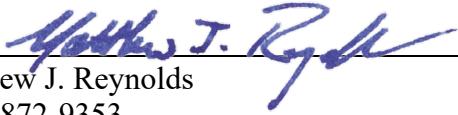
² Mediterranean Shipping proposed that "MCS identif[y] some representative number of transactions in which it alleges it properly booked or attempted to book cargo and it was not carried" but has not clarified what would constitute a "transaction", despite the undersigned counsel explaining during the October 5, 2021 call that there are not necessarily discrete identifiable "transactions" in the parties' ongoing contractual relationship and requesting clarity as to what identifying information was being demanded.

a joint proposed case schedule, largely adopted in Your Honor's Scheduling Order, that contemplated no such additional discovery stage. However, in order to eliminate that proposal as an excuse for Mediterranean Shipping not to comply with its production obligations in response to the MCS RFPs, MCS Industries attached to its most recent letter to Mediterranean Shipping's counsel a number of emails reflecting the course of communication between the parties (and, in some instances, with freight intermediaries).³ The undersigned counsel has also requested that Mediterranean Shipping identify any categories of documents or information that it intends to refuse to produce by no later than October 13, 2021, to allow adequate time for MCS Industries to file a motion to compel, if needed. As of this writing, the undersigned counsel has not yet received any further response from counsel for Mediterranean Shipping, but will continue to confer, as requested, unless and until the parties reach an impasse that must be brought before Your Honor.

Dated: October 8, 2021

Respectfully submitted,

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³ Pursuant to Your Honor's August 4, 2021 Initial Order and 46 C.F.R. Section 502.2(k), the undersigned counsel has omitted those attachments, as well as the MCS RFPs, from this filing but can provide them as Your Honor may order.

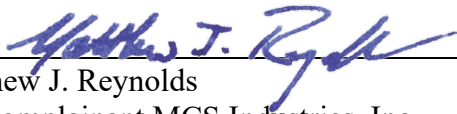
Certificate of Service

I hereby certify that I have this day served the foregoing document upon Respondent MSC Mediterranean Shipping Company SA by emailing a copy to its counsel of record listed below:

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Counsel for Respondent MSC Mediterranean Shipping Company SA

Dated: October 8, 2021



Matthew J. Reynolds
For Complainant MCS Industries, Inc.

EXHIBIT 1

October 6, 2021

By Email

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Re: *MCS Indus., Inc. v. COSCO SHIPPING Lines Co., Ltd. & MSC Mediterranean Shipping Co. SA*, Docket No. 21-05 (Fed. Mar. Comm'n)

Dear Mr. Longstreth:

I write on behalf of my client, Complainant MCS Industries, Inc. ("MCS"), to memorialize our call yesterday regarding discovery matters in the ongoing case between MCS and MSC Mediterranean Shipping Co. SA ("MSC").

Consistent with the agenda items I emailed you and your colleagues in advance of the call, I began the call by inquiring about when we could expect to receive from you the proposed confidentiality stipulation that we had previously discussed. You instead immediately shifted the conversation to the proposal discussed below.

Proposal for multi-staged production: You proposed that, prior to MSC producing (and perhaps even collecting) documents responsive to MCS's requests for production of documents and electronically stored information ("RFPs"), MCS should first have to provide to you additional documents and/or information above and beyond the information already contained in MCS's Complaint and provided in our prior correspondence, including in particular my detailed September 1, 2021 email to you pursuant to Rule 408 of the Federal Rules of Evidence.

As I noted during our conversation, no such one-sided discovery is required, or even contemplated, by the Federal Maritime Commission's ("FMC") Rules of Practice and Procedure (the "Rules"). MCS is not required to prove any prima facie case in order to seek discovery from MSC pursuant to the Rules. Although we are, of course, willing to discuss reasonable narrowing or streamlining of our RFPs, MCS rejects your suggestion that the Complaint and our several discussions thus far are somehow

insufficient for MSC to be able to identify the documents and information responsive to MCS's RFPs.

Moreover, seeking now to impose this unorthodox procedure as some kind of prerequisite to MSC complying with its own discovery obligations under the Rules is utterly inconsistent with the Joint Status Report and Proposed Discovery Schedule that you filed with the FMC, and incompatible with the deadlines set forth in Chief Administrative Law Judge Wirth's September 23, 2021 Scheduling Order in this case (the "Scheduling Order"). MCS's RFPs were timely served on September 24, 2021, and requested that MSC produce responsive, non-privileged documents by November 5, 2021—exactly as contemplated by the parties' Joint Status Report and Proposed Discovery Schedule and the Scheduling Order.

To the extent you believe that interposing this new preliminary step in the discovery process will facilitate a prompt, inexpensive resolution to this litigation—whether in the context of a mediation before CADRS or otherwise—we are open to considering your proposal. As we discussed, however, your proposal necessarily will entail alterations to the current discovery schedule to (1) align our respective discovery response deadlines and (2) ensure that both sides' document productions are substantially complete sufficiently in advance of depositions to allow adequate time for review and preparation. Your proposal would also need to make clear that it in no way limits either party's entitlement to the full measure of discovery afforded by the Rules.

More importantly, as you conceded during the call, this preliminary step cannot be one-sided. It is clear from our prior discussions that you and/or your client have conducted a preliminary investigation and have identified instances during the time period of primary focus—i.e., for sailings in May through July 2021—when MCS or its agents requested space on MSC sailings but such requests were, in MSC's view, not "properly or timely" made. MSC's information on such instances should, of course, be exchanged simultaneously with MCS's identification of instances where carriage by MSC was requested, and both parties should promptly produce documents, communications, and information relating to those events.

Confidentiality Stipulation/Protective Order:

- When we returned to the issue of a confidentiality stipulation, you suggested that we table that issue for now and that, should we agree to the staged production you are proposing, there may be no need for any such agreement.

- We inquired whether MSC will raise any Swiss law objections or issues with respect to our RFPs, and whether there would be any data privacy issues with your collection from MSC custodians located abroad, and you indicated that you were not aware of any such issues.
- We continue to believe that, especially given the compressed time frame for discovery in this case, we should address the issue of an appropriate confidentiality stipulation now. To that end, consistent with our prior discussions, please provide us with a proposed confidentiality stipulation that would be acceptable to MSC.

Production Parameters:

- As discussed, we included fairly standard e-discovery production parameters in our document requests, but are open to considering alternate proposals to streamline and reduce costs, including the production of documents in native format, with a stipulation that native files, whenever used in discovery, motion practice, or other filings with the ALJ, would receive unique document identifiers. We discussed that such a production would be considered to be producing such files as they are kept in the ordinary course of business, obviating the need to organize production documents according to the particular RFP(s) to which they respond.
- You represented that you would consult internally with your e-discovery team and revert with any proposals to alter the production parameters.

Third Parties/Agents:

- Both parties acknowledge that several third parties are identified in one or both sets of initial disclosures and that discovery from those third parties may be relevant to the matters at issue.
- As discussed, MCS is seeking documents informally from its agent Expeditors International and, to the extent we are able to obtain such documents, we intend to produce them in discovery along with MCS's own documents.
- Our understanding is that none of the other third parties identified by the parties is an agent of MCS or acting on MCS's behalf, and asked which of the other third parties are agents of MSC.
- You explained your understanding that no third party identified in this case is acting as an agent of MSC and that, to the extent some interactions between MCS and MSC may have been via freight forwarders or other

entities acting as intermediaries, none of those entities was acting on behalf of MSC. You will confirm this with your client and let us know.

Time Periods in Requests for Production and Interrogatories:

- We clarified that while our complaint is not specifically seeking reparations for alleged breaches outside of the current 2021 contract year, our RFPs generally seek discovery from at least January 2021 in order to capture documents from prior to May 1, 2021 that relate to the current contract year (e.g., negotiation of the current service contract and communications prior to May 1, 2021 relating to sailings within the current contract year).
- Certain of MCS's RFPs seek information about prior time periods (e.g., MSC's financial performance since 2019) because MSC's course of conduct over time and comparative performance in prior contract years (particularly immediately prior to and during the current global pandemic) are, of course, relevant to our causes of action.
- You plan to object to producing information relating to prior contract years but agree that both parties should produce documents and information from prior to May 2021 that relate to the current contract.
- You explained that your RFP 4 is not actually seeking all documents relating to contract negotiations going back to 2017, but instead is focused on establishing whether the parties negotiated, and whether MCS accepted a service contract with MSC, in each year back to 2017. You further explained that your RFP 4 is based on your understanding that in at least one year in that period the parties discussed but did not sign a service contract. We discussed that we may be able to resolve this question via stipulation.

MCS's objections to RFPs and Interrogatories:

- Although we both acknowledged that the parties plan to exchange written objections within 30 days after our exchange of RFPs, we also proceeded to discuss briefly some of our objections to your interrogatories and RFPs.
- We anticipate making general objections to any of your RFPs that seek discovery beyond the scope of the FMC's Rules of Practice; to production of documents already in MSC's possession; to production of any documents outside of MCS's possession, custody, or control (and particularly from third parties); and to production of documents that would disclose

privileged or trade secret information or information subject to confidentiality obligations.

- We will answer the interrogatories based on MCS's current knowledge and reserve the right to amend or expand our answers as discovery proceeds.
- We will object to the definition of MCS as including all agents except to the extent material from any such agents is in the possession of MCS. As we discussed, there are multiple third-party intermediaries involved in the relationship between MCS and MSC that we understand MCS does not control.
- We proposed that we provide business addresses and phone numbers for individuals identified in MCS's responses to interrogatories in lieu of individuals' home addresses and phone numbers. This is acceptable to you.
- We proposed that documents be made available to you electronically, rather than via delivery to K&L Gates's Washington, DC office. You clarified that an electronic production that is accessible from a machine located in your offices will suffice to satisfy that requirement.
- We object to the time period in RFP 4, as noted above.

MSC's objections to RFPs:

- Although you indicated you did not want to engage in a detailed discussion of specific objections to our RFPs—which, frankly, I had expected and understood to be the primary purpose of yesterday's call—we nevertheless provided you with clarifications of certain of our RFPs in anticipation of potential objections by you.
- You will object to engaging in the breadth of discovery covered by our RFPs prior to your proposed preliminary discovery from MCS discussed above. As we discussed at length, there is no basis for such an objection in the Rules.
- You propose to produce *only* material relating to the current contract year and transactions from certain ports pursuant to the current contract. We disagree that this is the only relevant time period (see above); depending on MSC's continued performance under the current service contract, it is possible that documents concerning MSC's carriage to and from certain ports could be excluded from current discovery efforts.
- You will object to producing financial information about MSC, which we believe is clearly relevant to the claims and defenses in this matter, especially given your prior statement that force majeure is an issue in this

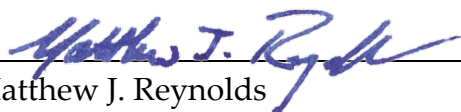
case and your client's public statements about the impact of global events and circumstances, including the COVID-19 pandemic, on MSC.

- You will object to providing any documents or information relating to MCS's claims of discrimination because you disagree with our invocation and interpretation of the statutes underlying those claims. We disagree with your assessment of these claims, which could have been, but was not, raised in a motion to dismiss the Complaint. Our discovery requests are proper and indispensable to proving the discrimination and other claims that we allege.

Joint Statement this Friday, October 8: You proposed reporting jointly on Friday that we are working through objections to each other's respective discovery requests. The appropriateness of that report, of course, depends on your forthcoming written proposal and any further discussions on that issue prior to Friday, and we reserve all rights, remedies, and positions.

We look forward to receiving your written proposal for staged discovery and proposed new discovery schedule promptly.

Sincerely,


Matthew J. Reynolds

Counsel for Complainant MCS Industries, Inc.

cc: Michael Scanlon (michael.scanlon@klgates.com)
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EXHIBIT 2

October 7, 2021

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Via Email

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Re: MCS Indus., Inc. v. COSCO SHIPPING Lines Co., Ltd. & MSC Mediterranean Shipping Co. SA, Docket No. 21-05 (Fed. Mar. Comm'n)

Dear Matt,

In our meet and confer session yesterday afternoon, you asked us to provide for your consideration written clarification of a proposal we advanced for an initial limited production that we believe would vastly streamline the discovery in this case. We agreed to do so. We were, therefore, surprised to receive your letter mischaracterizing our discussion and arguing that any proposal to limit the time and expense of discovery along the lines we discussed somehow violates the Commission's discovery rules.

Consistent with our agreement yesterday, we write to outline our proposal for a staged and proportionate discovery procedure that makes sense for this case. We believe our proposal is entirely consistent with the letter and spirit of the Commission's discovery rules.

Despite considerable media attention regarding the allegations made by your client that MSC was engaged in some kind of conspiracy with COSCO through its FMC-filed and supervised alliance agreements (MSC does not have an alliance or any other kind of agreement with COSCO) to wrongfully deny MCS carriage and force it into the spot market, allegations that were not actually plead in the complaint, we think this case is relatively simple.

Both parties agree MCS has a service contract with MSC. MCS claims that MSC has not carried all the cargo it should have under the contract during the three-month period between May 2021 and July 2021. MCS concedes that this alleged problem applies primarily in one port range (Qingdao), that MSC has fully complied with MCS' interpretation of the service contract at another port range (Fuzhou), with a third port range falling somewhere in the middle (Tianjin).

As we have stated repeatedly, we do not understand why MCS did not raise these issues through normal business channels via informal communications or a demand letter before launching a media campaign or filing a formal complaint, but it did not. Consequently, we must now deal with MCS's unsupported allegations of Shipping Act violations in a litigation context.

After MSC received your complaint, it reviewed the matter and concluded based on its initial investigation that it had fully complied with its contractual obligations. MSC had carried cargo that was properly booked and tendered. On voyages where MSC had not carried MCS cargo, MCS or its agents had either not attempted to book any cargo for that voyage or had done so improperly, for example by doing so too late.

To better understand the basis of your complaint and the nature of the issues in this case we have repeatedly asked you, both in the settlement context and otherwise, to provide details as to specific transactions in which MCS alleges that it properly booked or attempted to book cargo with MSC and MSC wrongfully refused to carry it.

Your letter suggests that you provided such information in an email to us on September 1, 2021. That is false. As explained in our email response on September 7, 2021, the information provided was not responsive to the information we requested or that you committed to provide. The information provided did not allow us to properly investigate the allegations made in your Complaint, because it failed to include any information that would enable our client to identify particular transactions in which your client timely and properly attempted to book space allocated to it under its contract with MSC, and that the request was not honored in some fashion that would constitute a breach of contract (or a violation of any of the Shipping Act provisions you have attempted to plead). Rather that email simply repeated MCS' position that cargo had been carried at some ports but not others. You stated in our call yesterday that MSC might properly have asked for such information in the CADRS context; we did and you refused to provide it.

Given the relatively simple nature of this case and the unique litigation posture, we think a staged, proportionate discovery to help narrow the issues is prudent. Specifically, we are proposing the following approach to limit the time and expense of discovery in this case:

1. Each party provides copies of what it believes to be the operable contract and any amendments thereto, such as the agreements as to weekly allocations for specific port ranges; and
2. MCS identifies some representative number of transactions in which it alleges it properly booked or attempted to book cargo and it was not carried so that both parties can exchange the information they have on these transactions.

The advantages of such an approach are obvious. For example, if the only apparent dispute is a factual one as to whether rejected bookings were in fact timely made, a host of other issues will become irrelevant.

You object that this procedure is not provided for under the rules. We disagree. Discovery can be structured in a manner that allows for a just, speedy, and inexpensive resolution of the matter, and providing of phased discovery is well within the rules and sound practice. Indeed, Judge Wirth directed the following in another pending case:

The parties are encouraged to identify ways to limit the time and expense associated with this proceeding. Specifically, the parties are instructed to discuss whether there are facts to which they could stipulate, whether it would be helpful to initially limit discovery (for example to a limited geographic area or time period), and whether it would be helpful to conduct limited discovery prior to filing a motion seeking summary decision, with additional discovery permitted if the motion is denied.

You also raised a concern about timing. We do not believe the limited initial discovery we have proposed will be at all time-consuming, and propose it be completed by October 22, 2021. We assume you already have the information on specific bookings or attempted bookings because that information was the basis of your complaint. Accordingly, we believe that this initial staged production can be accommodated within the existing schedule if the parties proceed in good faith. For the same reasons, we do not think the overall schedule needs to be amended at this time. We believe that approaching discovery in this manner will speed rather than delay the process as it will become far more efficient.

The remainder of your letter consists of characterizations of our discussion, some of which are accurate and some of which are not, and a reservation of your rights as to a report to the Judge this Friday. You are correct that we consider the vast majority of the discovery you have requested, including requests for all documents on cargo capacity for

every sailing in the date in the date range, rates charged to other shippers under confidential service contracts, nonpublic financial information and ownership interests in MSC to be irrelevant, burdensome, duplicative, harassing, and unnecessary.

Finally, you raise the matter of a confidentiality order. As we noted, one advantage of the limited initial production we have proposed is that much or all of the information exchanged would not implicate confidentiality concerns. You have nonetheless asked that we take time to address the matter now. Attached is a copy of an order entered in another Commission proceeding that you can look at as a model.

We look forward to your response to our proposal.

Sincerely,

/s/ John Longstreth

John Longstreth

cc: Karl Huth (huth@huthreynolds.com)

Sara Wilcox (swilcox@huthreynolds.com)

Encls:

EXHIBIT 3

October 7, 2021

By Email

John Longstreth, Esq.
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Re: *MCS Indus., Inc. v. COSCO SHIPPING Lines Co., Ltd. & MSC Mediterranean Shipping Co. SA*, Docket No. 21-05 (Fed. Mar. Comm'n)

Dear John:

We are in receipt of your letter dated today proposing an additional discovery stage in which you propose that my client, Complainant MCS Industries, Inc. ("MCS"), identify and produce documents to you and your client MSC Mediterranean Shipping Co. SA ("MSC") as a prerequisite to MSC's compliance with MCS's September 24, 2021 Requests for Production of Documents and Electronically Stored Information. Unfortunately, your letter reproduces the same mischaracterizations of MCS's claims and the same vague demands for information that we sought to resolve on our October 5 call.

You continue to spuriously complain about antitrust and conspiracy claims against MSC, despite multiple conversations and prior correspondence in which we have made clear to you and your co-counsel that MCS's complaint alleges no causes of action under U.S. antitrust laws. The media's reporting on and characterization of MCS's claims is not relevant to the claims, defenses, or conduct of this litigation, and raising that issue in every call and communication does not serve any purpose.

Similarly, you claim that MCS did not raise these issues through normal business channels prior to filing its complaint. This is patently false. MCS did — unsuccessfully — seek redress through business channels. Enclosed with this letter are communications between MCS and MSC personnel in which MCS repeatedly raised the ongoing problems with receiving its contracted space allocations on MSC's sailings from the ports of Qingdao and Tianjin.

More fundamentally, your proposal that MCS identify “some representative number of transactions in which it alleges it properly booked or attempted to book cargo” improperly narrows the gravamen of MCS’s complaint to an issue of poor communication or failure to comply with the technicalities of the booking process on a few occasions. MCS and the intermediaries through which it communicated did not suddenly forget how to book space on cargo ships. To the contrary, MCS has been successfully shipping cargo with multiple carriers, including MSC, for years, and has continued to successfully ship cargo with multiple carriers, including MSC, since filing its complaint, without changing its practices.

MCS’s complaint is that, despite having a service contract with a transportation commitment from MSC to carry a minimum quantity of MCS cargo in shipments reasonably spread throughout the term of the service contract, and despite MCS and its agent, Expeditors International, following the same procedures and practices that were in use prior to May 2021 (and, we understand, continue to be in use today), MCS was unable to secure a single booking that actually resulted in carriage of MCS cargo out of the Qingdao port from May through July 2021, and secured substantially less than its contractual allocation out of the Tianjin port in May and June 2021. These shortfalls by MSC have disrupted MCS’s business operations and caused MCS to seek carriage on the spot market at substantially higher cost than its contractually agreed prices with MSC. MCS has alleged on information and belief that MSC has benefitted from its failure to carry MCS cargo, including by selling space that should have been allotted to MCS on the spot market and/or giving preferential treatment to other shippers. MCS seeks redress for its injuries flowing from MSC’s alleged conduct in violation of the Shipping Act, no more and no less.

Your assertion that we have refused to provide information is again false. The conduct at issue is not merely a discrete series of booking requests and refusals, but instead a course of conduct in which MSC did not provide contracted space, and in some cases did not even provide the information or confirmations needed to begin the booking process from week to week. As I reminded you on our call this week, on September 1, 2021 I emailed you detailed information identifying the relevant ports, time periods, MQC allocations, and actual space released by month—information that was more than sufficient to focus your inquiries with your client. We have repeatedly emphasized—and continue to emphasize—our interest in facilitating a more detailed discussion among businesspeople from our respective clients to resolve these issues, whether in the context of a CADRS mediation or otherwise.

Your proposal that limited “transaction”-level discovery is somehow necessary for MSC to understand why MCS has brought this complaint and must be completed before MSC responds to MCS’s Requests for Production strains credulity in light of the straightforward nature of MCS’s complaint and the additional details that we have already provided in our several discussions and email exchanges. As I noted on our most recent call and my prior letter, your proposal is also incompatible with the discovery schedule to which you previously agreed, which contemplates substantial completion of document productions in response to initial RFPs by November 5 and the completion of fact depositions by December 13. MCS is entitled to seek the full range of discovery relevant to its allegations within the time frame to which you agreed on behalf of MSC.

We therefore cannot agree to the vague proposal in your letter from this morning and do not think that such an additional, pre-discovery process is required or appropriate.¹ However, to eliminate this issue as a claimed obstacle to MSC’s ability to make a fulsome production of non-privileged documents responsive to MCS’s RFPs by November 5, 2021, enclosed with this letter are twelve email threads that exemplify the communications between our respective clients and intermediaries, including several direct communications between MCS and MSC raising the issues that are the subject of MCS’s complaint, some of which we have excerpted below. In addition, below is information concerning booking requests and booking confirmations that we understand were not honored:

- April 9, 2021 email from MCS to MSC: “Please share with the team as the space promised per week is not being accepted for the first week of May / any of May that I am aware of at this time.”
- Booking confirmations 177OJNQN2543VFB, 177OJNQN2542VFB, and 177OJNQN2541VFB issued April 9, 2021 pursuant to booking requests 52Y0138368, 52Y0136421, and 52Y0136447, respectively, for the vessel Cap San Vincent.
- Request on May 8, 2021 to use still-pending booking confirmations 177OJNQN2543VFB, 177OJNQN2542VFB, and 177OJNQN2541VFB.

¹ As a point of clarification, we have never claimed that a staged discovery schedule would violate the Federal Maritime Commission’s Rules of Practice and Procedure, only that nothing in those rules allows a party to demand preliminary discovery as a prerequisite to full discovery, and that we do not think such a demand is appropriate or necessary in this case.

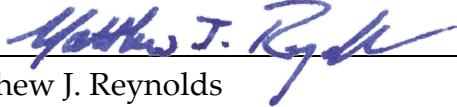
- May 12, 2021 email from MSC to MCS: "I'm pushing for your allocation to be met. I'll revert soonest".
- May 20, 2021 email from MCS to MSC: "Based on our Week 20 Booking Reports, I do not see any bookings made with MSC. If this is not accurate please advise what bookings have been made. I need an update asap on why we have not had any bookings and what we can expect in the next week or two. This is very concerning for our business, any information would be appreciated."
- July 2, 2021 email from MCS to MSC: "I was hoping to see better numbers for TEU's shipping in June. We only got 33% of our June monthly TEU allocation (61 TEU's monthly) and 4.5 in May. As of June YTD we should be at 17% and we are only 3%!! We **DESPERATELY** need the space that we contracted for, any help on this would be appreciated."
- July 7, 2021 email from MSC to MCS: "You should be getting allocation or close to it. Are they refusing both those other origins?"
- July 8, 2021 email from MCS to MSC: "I need an update on this? Can you please send me a weekly booking report? I need to see what you are booking for us on a regular / weekly basis."
- Booking confirmations 177OJNJNQ4897VFB, 177OJNJNQ4896VFB, and 177OJNJNQ4895VFB issued July 8, 2021 pursuant to booking requests BK05160297, 52Y0136442, and 52Y0136457 for the vessel Cap San Juan.
- July 21, 2021 email from MCS to MSC regarding the lack of confirmation of the above bookings: "can you please look into this and advise back? We need the space!"
- Booking confirmations 177OJNJNQ4917VFB, 177OJNJNQ4918VFB, and 177OJNJNQ4919VFB issued July 21, 2021 (subsequently re-booked for the vessel Maersk Guayaquil).
- August 10, 2021 email from MCS to MSC: "I was hoping to see better numbers of TEU's shipping for May, June and July. As of July we should be at 25% of the TEU allotment and we are only 8%!! We **DESPERATELY** need the space that we contracted for and we need a guarantee that we will get our contracted space going forward."

- September 20, 2021 email from MCS to MSC: "Through August based on our MQC divided 52 weeks- we are behind by approx. 60 containers. We would like to be able to catch up with these missed volumes in the next couple months. We have plenty of cargo to book out of Qingdao and Tianjin."

I should note that we are voluntarily sharing these documents with you, in advance of any discovery obligation on our part, simply to clear up your purported confusion regarding the nature of MCS's claims. There is no reasonable basis to dispute that MCS requested space, that MSC failed to provide space, and that MSC instead awarded space to other shippers, whether pursuant to service contracts or via the spot market. Discovery is necessary to uncover the nature of and rationale for MSC's actions, and is directly relevant to MCS's claims, which include claims of discrimination and unfair practices prohibited by the Shipping Act.

In light of the above and attached, we expect that both parties will proceed with discovery, including the service of written objections and responses to requests for productions and interrogatories and the production of responsive, non-privileged documents, as contemplated in the current scheduling order. Since you declined to discuss on our October 5 call MSC's objections to any of our specific Requests for Production, if there are any categories of documents or information that you intend to refuse to produce, please let us know as soon as possible, and in no event later than Wednesday, October 13, 2021, to allow time for the filing and resolution of a motion to compel within the time constraints imposed by the current discovery schedule.

Sincerely,


Matthew J. Reynolds

Counsel for Complainant MCS Industries, Inc.

Enclosures

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